14. Income taxes

The provision for taxes on income for the years ended December 31 consists of the following:

	2021	2020	2019
Pretax income			
Domestic	$ (342,951)	$ 54,397	$ 217,098
Foreign	181,969	201,195	163,668
Total pretax income	$ (160,982)	$ 255,592	$ 380,766
Current			
Federal	$ 21,247	$ 10,868	$ 14,933
State	15,212	4,608	2,565
Foreign	55,018	42,764	45,911
Total current	$ 91,477	$ 58,240	$ 63,409
Deferred			
Federal	$ (120,243)	$ 432	$ 25,064
State	$ (39,709)	$ 512	8,599
Foreign	1,045	(6,154)	(3,803)
Total deferred	$ (158,907)	$ (5,210)	$ 29,860
Total taxes	$ (67,430)	$ 53,030	$ 93,269

Deferred tax (liabilities)/assets are comprised of the following at December 31:

	2021	2020
Property, plant and equipment	$ (97,806)	$ (91,752)
Intangibles	(96,057)	(110,796)
Leases	(75,587)	(79,531)
Gross deferred tax liabilities	$ (269,450)	$ (282,079)
Retiree health benefits	$ 2,935	$ 4,065
Foreign loss carryforwards	76,462	81,143
U.S. Federal loss and credit carryforwards	34,700	78,100
Capital loss carryforwards	4,050	3,121
Employee benefits	46,503	47,134
Leases	78,518	84,076
Accrued liabilities and other assets	75,611	69,341
Gross deferred tax assets	$ 318,779	$ 366,980
Valuation allowance on deferred tax assets	$ (93,992)	$ (128,435)
Total deferred taxes, net	$ (44,663)	$ (43,534)

The Company has total federal net operating loss carryforwards of approximately $53,675 remaining at December 31, 2021. These losses are limited based upon future taxable earnings of the Company and expire between 2030 and 2036. U.S. foreign tax credit carryforwards of approximately $21,769 exist at December 31, 2021 and expire in 2027. Foreign subsidiary loss carryforwards of approximately $307,002 remain at December 31, 2021. Their use is limited to future taxable earnings of the respective foreign subsidiaries or filing groups. Approximately $191,458 of these loss carryforwards do not have an expiration date. Of the remaining foreign subsidiary loss carryforwards, approximately $16,951 expire within the next five years and approximately $98,594 expire between 2027 and 2041. Foreign subsidiary capital loss carryforwards of approximately $16,187 exist at December 31, 2021 and do not have an expiration date. Their use is limited to future capital gains of the respective foreign subsidiaries.

Approximately $11,086 in tax value of state loss carryforwards and $16,636 of state credit carryforwards remain at December 31, 2021. These state loss and credit carryforwards are limited based upon future taxable earnings of the respective entities or filing group and expire between 2022 and 2041. State loss and credit carryforwards are reflected at their "tax" value, as opposed to the amount of expected gross deduction due to the vastly different apportionment and statutory tax rates applicable to the various entities and states in which the Company files.

A reconciliation of the U.S. federal statutory tax rate to the actual (benefit from)/provision for income taxes is as follows:

	2021		2020		2019	
Statutory tax rate	$ (33,806)	21.0 %	$ 53,674	21.0 %	$ 79,961	21.0 %
State income taxes, net of federal tax benefit	(15,863)	9.9 %	4,859	1.9 %	7,767	2.0 %
Valuation allowance	(33,576)	20.9 %	1,589	0.6 %	3,174	0.8 %
Tax examinations including change in reserve for uncertain tax positions	5,665	(3.5)%	5,546	2.2 %	(1,639)	(0.4)%
Adjustments to prior year deferred taxes	1,239	(0.8)%	(265)	(0.1)%	(499)	(0.1)%
Foreign earnings taxed at other than U.S. rates	9,659	(6.0)%	3,275	1.3 %	5,083	1.3 %
Divestiture of business	(808)	0.5 %	(15,356)	(6.0)%	—	— %
Effect of tax rate changes	275	(0.2)%	(523)	(0.2)%	531	0.1 %
Foreign withholding taxes	8,107	(5.0)%	2,157	0.8 %	2,015	0.5 %
Tax credits	(21,936)	13.6 %	(13,529)	(5.3)%	(13,310)	(3.5)%
Global intangible low-taxed income (GILTI)	11,323	(7.0)%	15,795	6.2 %	12,340	3.2 %
Foreign-derived intangible income	(202)	0.1 %	(1,238)	(0.5)%	(1,225)	(0.3)%
Foreign currency gain/(loss) on distributions of previously taxed income	3,365	(2.1)%	(344)	(0.1)%	—	— %
Other, net	(872)	0.5 %	(2,610)	(1.1)%	(929)	(0.2)%
(Benefit from)/Provision for income taxes	$ (67,430)	41.9 %	$ 53,030	20.7 %	$ 93,269	24.4 %

The total amount of the one-time transition tax on certain accumulated foreign earnings as part of the Tax Cuts and Jobs Act ("Tax Act") was $80,580. Under the provisions of the Tax Act, the transition tax is payable in installments over a period of 8 years. The first two installments were paid in 2018 and 2019 with the filing of the Company's 2017 and 2018 U.S. income tax returns. The liability is further reduced by the deemed overpayment of federal income taxes. In 2021 the Company amended its 2017 U.S. income tax return to reflect a decrease in the transition tax from the increased use of foreign tax credits. The resulting overpayment reduced the remaining installment payments by $44,500. The remaining obligation of $1,795 is included in "Other Liabilities" in the Company's Consolidated Balance Sheet at December 31, 2021.

The change in “Tax examinations including change in reserve for uncertain tax positions” is shown net of associated deferred taxes and accrued interest. Included in the change are net increases in reserves for uncertain tax positions of approximately $2,330, $1,866 and $1,832 for uncertain items arising in 2021, 2020 and 2019, respectively, combined with adjustments related to prior year items, primarily decreases related to lapses of statutes of limitations in international, federal and state jurisdictions as well as overall changes in facts and judgment. These adjustments changed the reserve by a total of approximately $3,743, $(2,601) and $(3,471) in 2021, 2020 and 2019, respectively.

In many of the countries in which the Company operates, earnings are taxed at rates different than in the U.S. This difference is reflected in “Foreign earnings taxed at other than U.S. rates” along with other items, if any, that impacted taxes on foreign earnings in the periods presented.

The benefits included in “Adjustments to prior year deferred taxes” for each of the years presented consist primarily of adjustments to deferred tax assets and liabilities arising from changes in estimates.

The benefits included in "Divestiture of business" relate to the sale of the Company's European contract packaging business.

Of the $21,936 of tax credits for 2021, $8,208 directly offsets the $11,323 of GILTI tax, resulting in a net GILTI tax of $3,115. Of the remainder, $10,980 relates to Research & Development tax credits, which is made up of amounts for both 2021 and 2020 tax years.

The benefits included in "Valuation allowance" include a $39,843 net recognized benefit associated with the amendment of the Company's 2017 U.S. income tax return to report increased utilization of its foreign tax credits.

The Company maintains its assertion that its undistributed foreign earnings are indefinitely reinvested and, accordingly, has not recorded any deferred income tax liabilities that would be due if those earnings were repatriated. As of December 31, 2021, these undistributed earnings total $849,720. While the majority of these earnings have already been taxed in the U.S., a portion would be subject to foreign withholding and U.S. income taxes and credits if distributed. Computation of the deferred tax liability associated with unremitted earnings deemed to be indefinitely reinvested is not practicable at this time.

Reserve for uncertain tax positions

The following table sets forth the reconciliation of the gross amounts of unrecognized tax benefits at the beginning and ending of the periods indicated:

	2021	2020	2019
Gross Unrecognized Tax Benefits at January 1	$ 11,230	$ 12,200	$ 14,400
Increases in prior years’ unrecognized tax benefits	12,283	91	—
Decreases in prior years’ unrecognized tax benefits	(275)	(464)	(1,300)
Increases in current year's unrecognized tax benefits	1,088	1,569	1,300
Decreases in unrecognized tax benefits from the lapse of statutes of limitations	(6,170)	(1,866)	(2,300)
Settlements	(14)	(300)	100
Gross Unrecognized Tax Benefits at December 31	$ 18,142	$ 11,230	$ 12,200

Of the unrecognized tax benefit balances at December 31, 2021 and December 31, 2020, $17,425 and $10,470, respectively, would have an impact on the effective tax rate if ultimately recognized.

Interest and/or penalties related to income taxes are reported as part of income tax expense. The Company had $875 and $2,006 accrued for interest related to uncertain tax positions at December 31, 2021 and December 31, 2020, respectively. Tax expense for the year ended December 31, 2021, includes an interest benefit of $1,131, which is comprised of an interest benefit of $1,396 related to the adjustment of prior years' items and interest expense of $265 on unrecognized tax benefits. The amounts listed above for accrued interest and interest expense do not reflect the benefit of a federal tax deduction which would be available if the interest were ultimately paid.

The Company and/or its subsidiaries file federal, state and local income tax returns in the United States and various foreign jurisdictions. With few exceptions, the Company is no longer subject to income tax examinations by tax authorities for years before 2015.

The Company believes that it is reasonably possible that the amount reserved for uncertain tax positions at December 31, 2021 will decrease by $224 over the next twelve months. This change includes the anticipated increase in reserves related to existing positions offset by settlements of issues currently under examination and the release of existing reserves due to the expiration of the statute of limitations. Although the Company's estimate for the potential outcome for any uncertain tax issue is highly judgmental, management believes that any reasonably foreseeable outcomes related to these matters have been adequately provided for. However, future results may include favorable or unfavorable adjustments to estimated tax liabilities in the period the assessments are made or resolved or when statutes of limitation on potential assessments expire. Additionally, the jurisdictions in which earnings or deductions are realized may differ from current estimates. As a result, the effective tax rate may fluctuate significantly on a quarterly basis. The Company has operations in many countries outside of the United States and the taxes paid on those earnings are subject to varying rates. The Company is not dependent upon the favorable benefit of any one jurisdiction to an extent that loss of those benefits would have a material effect on the Company's overall effective tax rate.

As previously disclosed, in February 2017 the Company received a Notice of Proposed Adjustment (“NOPA”) from the Internal Revenue Service ("IRS") proposing adjustments to the 2012 and 2013 tax years. In 2018, the Company filed a protest to the proposed deficiency and the matter was referred to the Appeals Division of the IRS. In the second quarter of 2021, the Company paid $5,613 in taxes and interest to settle the dispute.